

FX Quant Insight

Jackson Quant – Bullish EURUSD

Key takeaways

- Treasury activism weigh on USD; quant signals support the downtrend
- Flow, skew and trend signals favour USD downside; Jackson Hole key
- Options, value, momentum and technicals all support EURUSD upside

FX Signal of the Week: Bullish EURUSD

Exhibit 1: The bearish USD signals are getting louder and louder

Top signals from quant models

Section	Insight	Rationale
Option Flow	Bearish USD	Flow and skew favoured USD puts vs major European currencies
3-Factor	Value	Value outperforms trend and carry, supports EUR, CHF, and SEK
Technical Matrix	Bearish USD	Bearish continuation signals triggered vs EUR, GBP, NZD, and AUD
CARS	Equity factor	Bullish NZD and CHF, bearish EUR and JPY on equity factor
Time Zone	EURUSD buying	Over the past month, EURUSD has strengthened across time zones
EM FX	Bullish CNH	Bullish continuation supported by ADX trend

Source: BofA Global Research

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Signals remain bearish USD – Jackson Hole will be key

The US Treasury's announcement that it would at least double the size of long-end nominal liquidity-support buybacks pushed the USD another leg lower ([FX Watch, 21 Aug '26](#)). Similarly to last week, our quant signals indicate that the downtrend remains worth chasing ([FXQI, 17 Aug '26](#)). Both option flow and skew moved aggressively in favour of USD puts, with the options market particularly favouring the larger European currencies (EUR, CHF, and GBP, see Exhibit 2, Exhibit 4). Trend signals also strongly favour USD downside, with NZDUSD, GBPUSD and EURUSD all seeing their uptrends supported by bullish continuation signals and constructive ADX indicators (Exhibit 9).

We view Jackson Hole as the next key event. If Warsh fails to deliver a credible plan to return inflation to target, the USD is likely to weaken further, accompanied by a steeper Treasury curve and higher long-end yields (see our report, Liquid Insight, 24 Aug '26).

Options, value, and technical signals favour EUR upside

Against a weaker USD, our signals favour bullish EUR. In addition to supportive options and trend signals (Exhibit 2, Exhibit 4 and Exhibit 9) and a constructive technical setup (Chart 1), the EUR also benefits from the increasing outperformance of the value factor vs trend and carry (Exhibit 5). In fact, our DFM model flags the EUR as one of the most undervalued currencies against the USD (Exhibit 7).

The shifting sentiment in favour of EURUSD also seems broad-based. Our time-zone analysis shows that the USD has recently sold off across US, European, and Asian trading hours, indicating broad support for the pair's uptrend (Exhibit 12).

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Refer to important disclosures on page 9 to 10. Analyst Certification on page 8. 13011411

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For more details on the construction of the quant signals, please refer to the [FX Quant Insight primer - 1 Apr '25](#).

For our open and recently closed trade recommendations in the last 12-months, please see our [Global FX Weekly](#)

Glossary:

CARS (model): Cross-Asset Regime Switching

SDR: Swap Data Repository

MAA: Moving Average Aggregator

UD: Up/Down volatility

RS: Residual Skew

ADX: Average Directional Movement Index

DMI: Directional Movement Index

SMA: Simple Moving Average

RV: relative value

RBA: Reserve Bank of Australia

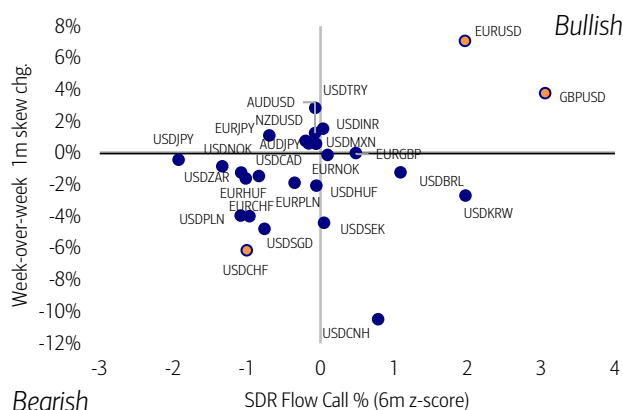
Option Flow Signals

Our options flow signals combine Event analysis framework ([FX Quant Insight primer - 2025, 1 Apr '25](#)) with SDR flows data ([Liquid Cross Border Flows 2.0, 15 Apr '24](#)) to gauge bullish and bearish sentiment.

To learn more about FX volatility & options please refer [FX Volatility Dashboard](#) as well as the FX Vol Dashboard Primer ([FX Volatility Dashboard Primer - 2025, 7 May '25](#)).

Exhibit 2: Option flow & skew are bullish Europe vs US

1m skew change vs call %-age z-score, bearish USD/Europe signals in orange

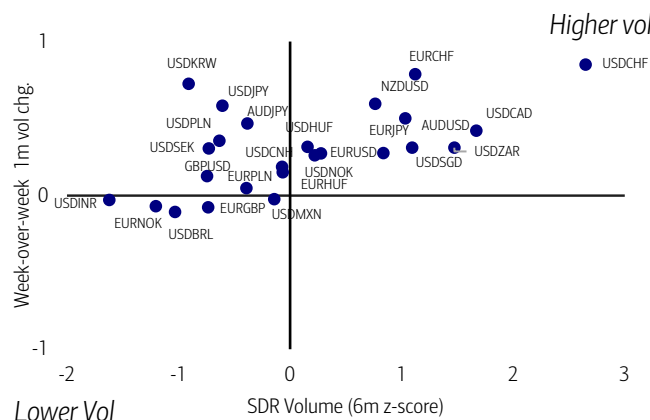


Source: Bloomberg, BofA Global Research

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Exhibit 3: Vol market is waking up from its summer slumber

1m implied vol change vs volume z-score



Source: Bloomberg, BofA Global Research

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Exhibit 4: Skew moved aggressively in favor of USD puts across both G10 and EM after the US Treasury announcement

Event analysis signals after last week's spot and vol moves

Pair	Old spot	New spot	1m vol	1m vol chg	1y vol	1y vol chg	1y - 1m chg	Currency	Return vs USD	1m skew % chg vs		Signals
										USD		
EURUSD	1.1580	1.1675	5.47	0.27	6.23	0.18	-0.09	EUR	0.82%	7.11		EUR No Signal
USDJPY	159.46	159.11	7.71	0.58	8.35	0.08	-0.51	JPY	0.22%	-1.63		JPY No Signal
GBPUSD	1.3544	1.3647	5.62	0.13	7.13	0.09	-0.04	GBP	0.76%	3.90		GBP No Signal
USDCHF	0.8108	0.8013	7.22	0.85	7.43	0.29	-0.56	CHF	1.18%	5.63		CHF No Signal
AUDUSD	0.7105	0.7166	7.34	0.50	8.39	0.11	-0.39	AUD	0.85%	1.73		AUD No Signal
USDCAD	1.3874	1.3825	4.69	0.42	5.14	0.17	-0.25	CAD	0.35%	1.23		CAD No Signal
USDSEK	9.5144	9.4757	8.41	0.31	9.31	0.14	-0.17	SEK	0.41%	4.62		SEK No Signal
USDNOK	9.4236	9.3127	8.09	0.26	9.45	0.22	-0.05	NOK	1.18%	1.09		NOK No Signal
NZDUSD	0.5902	0.5972	8.23	0.60	8.74	0.20	-0.40	NZD	1.18%	0.90		NZD No Signal
USDSGD	1.2776	1.2699	3.77	0.31	4.25	0.18	-0.13	SGD	0.60%	5.04		SGD No Signal
USDKRW	1414.1	1383.7	11.03	0.73	9.90	0.10	-0.63	KRW	2.17%	2.80		KRW Bullish Continuation
USDMXN	17.0387	16.9252	6.80	-0.03	9.74	-0.02	0.00	MXN	0.67%	-0.67		MXN No Signal
USDTRY	47.9123	48.0820	6.59	0.67	18.66	-0.18	-0.85	TRY	-0.35%	7.86		TRY No Signal
USDZAR	16.2271	15.9928	9.68	0.31	11.37	0.04	-0.27	ZAR	1.45%	2.21		ZAR No Signal
USDHUF	313.9	309.8	10.49	0.32	11.14	0.09	-0.23	HUF	1.31%	2.50		HUF No Signal
USDPLN	3.7248	3.6965	7.23	0.36	8.71	0.14	-0.21	PLN	0.76%	4.61		PLN No Signal

Source: BofA Global Research, Bloomberg

The table shows the 1-year percentile and 1-week change in 1m and 1y implied vol, the 1y-1m spread, and the 1m 25 delta risk reversal as a percentage of the ATM. For a currency with a put skew, the rules for generating the signal column are the following:

[1] Bearish Continuation: Spot change < -1%, 1m vol change > 0.5%, 1y vol change > 0%, 1m skew chg. < -2; [2] Bearish Contrarian: Spot change > 1%, 1m skew change < -2; [3] Bullish Continuation: Spot change > 2%, 1y-1m change < -0.1%, 1m skew change > 2; [4] Bullish Contrarian Spot change < -1%, 1m vol change < -0.2%, 1m skew chg. > 1.

Parameters that triggered a bearish condition are colored in red; parameters that triggered a bullish condition are colored in green.

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Exhibit 5: Value continues outperform vs trend and carry

The chart displays the distribution of three components: Carry, Value, and Trend. The y-axis represents a percentage from -2% to 2%. The x-axis is divided into three sections: Carry, Value, and Trend. The Carry section shows mostly positive values, the Value section shows mostly negative values, and the Trend section shows mostly positive values.

Component	Value
Carry	0.6%
Carry	-0.2%
Carry	1.3%
Carry	0.3%
Carry	1.0%
Carry	1.6%
Carry	0.1%
Carry	1.3%
Carry	0.5%
Carry	0.8%
Carry	1.2%
Carry	1.4%
Carry	-0.1%
Carry	1.2%
Carry	-0.3%
Value	-0.3%
Value	-0.5%
Value	-0.7%
Value	-1.6%
Value	-0.2%
Value	-0.9%
Value	-0.9%
Value	-0.5%
Value	-0.4%
Value	-0.5%
Trend	0.8%
Trend	0.1%
Trend	0.7%
Trend	-0.9%
Trend	0.9%
Trend	-0.4%
Trend	0.3%
Trend	0.6%
Trend	0.8%
Trend	0.0%
Trend	-0.8%
Trend	0.3%
Trend	0.8%
Trend	-0.1%
Trend	-1.0%

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Exhibit 6: Lower US rates benefit mainly CAD and NZD

Country	Percentage
EUR	22%
JPY	23%
GBP	1%
AUD	22%
CHF	22%
CAD	85%
NZD	65%
SEK	8%
NOK	25%

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	IR differentials	DFM fair value	10-week SMA	REER	
G10	EUR	1.1	-1.8	1.0	-0.3
	JPY	-1.5	-1.1	0.7	-1.9
	GBP	1.2	-0.8	1.0	0.0
	AUD	0.7	2.0	1.4	1.0
	CHF	0.9	-1.7	0.6	1.0
	CAD	0.7	0.5	0.9	-0.9
	NZD	0.9	0.2	1.7	0.4
	SEK	1.1	-2.1	0.8	-1.3
	NOK	0.6	1.8	1.8	-1.2
EM	MXN	1.1	1.0	1.0	0.7
	BRL	1.2	0.7	-0.2	-0.8
	COP	3.4	3.6	5.0	1.6
	CLP	0.0	-0.2	0.3	-1.6
	ZAR	1.5	1.3	1.0	-0.2
	PLN	0.4	-2.4	0.6	2.1
	HUF	1.2	0.2	0.3	1.6
	ILS	1.9	1.4	0.3	2.2
	CNH	2.9	2.1	0.2	0.3
	INR	-2.2	-2.1	0.0	-0.6
	KRW	-0.7	0.8	2.0	-1.0
	TWD	-1.0	-1.0	0.2	-0.8
	IDR	-1.5	-1.6	0.4	-0.4
	THB	1.2	-1.3	0.8	0.6

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	1m	3m	6m	1y
GBPCHF	0.83	0.83	0.85	0.84
AUDCHF	0.76	0.76	0.77	0.75
EURCHF	0.69	0.70	0.72	0.72
USDCHF	0.61	0.61	0.62	0.61
CHFNOK	0.59	0.60	0.62	0.61
NZDCHF	0.46	0.48	0.50	0.52
AUDJPY	0.44	0.45	0.45	0.43
GBPJPY	0.44	0.44	0.45	0.45
USDJPY	0.43	0.43	0.44	0.43
CADCHF	0.43	0.42	0.43	0.43
EURAUD	0.41	0.41	0.41	0.39
EURGBP	0.41	0.40	0.41	0.41
AUDCAD	0.40	0.41	0.41	0.39
AUDNZD	0.39	0.37	0.35	0.30
USDCAD	0.39	0.40	0.41	0.39
NOKSEK	0.37	0.38	0.38	0.35
CHFSEK	0.33	0.33	0.34	0.36
GBPCAD	0.33	0.33	0.35	0.34
EURNOK	0.31	0.31	0.31	0.30
EURUSD	0.30	0.29	0.29	0.28
USDSEK	0.24	0.24	0.25	0.23
EURJPY	0.23	0.24	0.25	0.25
NZDJPY	0.22	0.24	0.25	0.27

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Technical Matrix

The Technical Matrix is a table of technical indicators ([Technicals Explained: In 2026, get to know technical strategy 26 January 2026](#)) and BofA positioning analysis ([FX Quant Insight primer – 2025, 1 Apr '25](#)) that look at trend following and reversal signals. To learn more about a variety of technical strategies, please see [2026 Technicals Explained](#), as well as our Quantifying Technicals publications for the ADX and Bollinger indicators.

Exhibit 9: Trend signals favour chasing the USD lower, strongest signals support EURUSD, GBPUSD, and NZDUSD higher

Technical matrix with positioning analysis and key levels to watch

		Spot	Positioning Trend	Bullish / Bearish	ADX Trend	Bollinger Bands	Next Support	Next Resistance	Trigger Level	Take-profit Level
USD	EURUSD	1.1673	↑	Bullish	Uptrend	None	1.1631	1.1703	1.1605	1.2021
	USDJPY	159.12	↓	No Signal	Downtrend	None	158.36	159.98	159.17	154.54
	GBPUSD	1.3646	↑	Bullish	Uptrend	None	1.3540	1.3789	1.3440	1.3983
	AUDUSD	0.7166	↑	Bullish	Range	None	0.7158	0.7278	0.7027	0.7364
	USDCHE	0.8015	↔	No Signal	Transition	None	0.7977	0.8088		
	USDCAD	1.3826	↓	No Signal	Downtrend	None	1.3775	1.3844	1.3852	1.3609
	NZDUSD	0.5972	↑	Bullish	Uptrend	None	0.5897	0.6093	0.5854	0.6108
	USDSEK	9.4777	↔	No Signal	Transition	None	9.4585	9.6121		
USDNOK	9.3134	↓	No Signal	Downtrend	None	9.1206	9.4892	9.5751	9.0182	
EUR	EURGBP	0.8554	↓	Bearish	Range	None	0.8455	0.8565	0.8560	0.8397
	EURJPY	185.75	↑	No Signal	Transition	None	185.14	187.95	184.75	191.95
	EURAUD	1.6291	↓	Bearish	Range	None	1.6111	1.6367	1.6371	1.5735
	EURCHF	0.9356	↑	Bearish	Uptrend	None	0.9281	0.9415	0.9246	0.9469
	EURCAD	1.6138	↑	Bullish	Range	None	1.6134	1.6141	1.6100	1.6600
	EURNZD	1.9547	↓	Bearish	Range	None	1.9439	1.9786	1.9750	1.9203
	EURSEK	11.0637	↑	No Signal	Range	None	11.0296	11.1707	11.0062	11.3292
	EURNOK	10.8718	↓	Slightly Bullish	Downtrend	None	10.6978	10.9804	11.0131	10.5826
G10 Cross	AUDJPY	114.02	↑	No Signal	Transition	None	113.12	114.92	112.73	118.93
	AUDNZD	1.1999	↓	No Signal	Range	None	1.1907	1.2071	1.2001	1.1803
	AUDCAD	0.9906	↑	Bullish	Range	None	0.9843	0.9961	0.9828	1.0163
	NOKSEK	1.0176	↑	Slightly Bearish	Transition	None	0.9976	1.0200	0.9955	1.0419
	CADJPY	115.10	↑	No Signal	Range	None	114.98	117.52	114.84	119.04
	GBPJPY	217.13	↑	Slightly Bearish	Range	None	215.68	219.61	215.09	223.73
	NZDJPY	95.02	↑	Bullish	Transition	None	93.40	95.44	93.08	97.46
	GBPCHE	1.0937	↑	Slightly Bearish	Downtrend	None	1.0837	1.1011	1.0828	1.1171
EM	USDMXN	16.93	↓	No Signal	Downtrend	None	16.8875	17.3318	17.37	16.49
	USDBRL	5.1397	↔	No Signal	Range	None	5.1343	5.1605		
	USDZAR	16.00	↓	Bearish	Transition	None	15.6443	16.3791	16.44	15.47
	EURPLN	4.3158	↑	Bearish	Transition	None	4.3047	4.3504	4.31	4.39
	EURHUF	361.74	↔	No Signal	Uptrend	None	360.08	367.59		
	USDKRW	1384	↓	Slightly Bullish	Downtrend	None	1375.65	1446.91	1470.78	1384.00
	USDINR	95.73	↑	Slightly Bearish	Range	None	95.43	96.97	95.48	98.37
	USDCNH	6.7234	↓	Bearish	Downtrend	None	6.7128	6.7687	6.78	6.63

Data as of 08/24/26. Source: BofA Global Research, Bloomberg.

Positioning uptrend has MAA > 60, downtrend MAA < 40. Positioning uptrend reversal likely if MAA/UD/RS > 80, continuation likely if UD, RS < 50. Positioning downtrend reversal likely if MAA/UD/RS < 20, and continuation likely if UD, RS > 50. UD and RS are 1y percentile and MAA is in %.

Positioning is bullish (green) if matrix shows downtrend reversal or uptrend continuation; Positioning is bearish (red) if matrix shows uptrend reversal or downtrend continuation.

Positioning is slightly bullish or slightly bearish (yellow) if only one of UD or RS supports the signal.

ADX downtrend if ADX > 25 and DMI+ is below DMI-. ADX uptrend if ADX > 25 and DMI+ is above DMI-. ADX shows Transition if ADX is between 20 and 25, and Range if ADX < 20. Cells in the ADX Trend column are colored with more intensity if the ADX trend signal matches the positioning signal. 14-day lookahead is used for the ADX indicators.

The Bollinger Bands column shows 'Upper' if spot is above the +2 std bollinger band, and 'Lower' if spot is below the -2 std band. 20-day SMA is used for Bollinger indicators.

Cells in Next Support and Next Resistance columns are colored if spot is within 0.5% of the support or resistance level.

For pairs in an existing uptrend or downtrend according to MAA, the Trigger Level shows the hypothetical spot level that would neutralize the existing trend in the next 2 weeks. The Take-profit Level shows the hypothetical spot level in the next 2 weeks that would suggest the trend has become too stretched according to the 2y z-score of the spot vs 50d SMA ratio.

For pairs current not in a prominent MAA trend, the Trigger Level shows the hypothetical spot level that would form a trend for the pair in the next two weeks. Pairs currently not in a prominent MAA trend would not have a Take-Profit Level.



Technical Strategy

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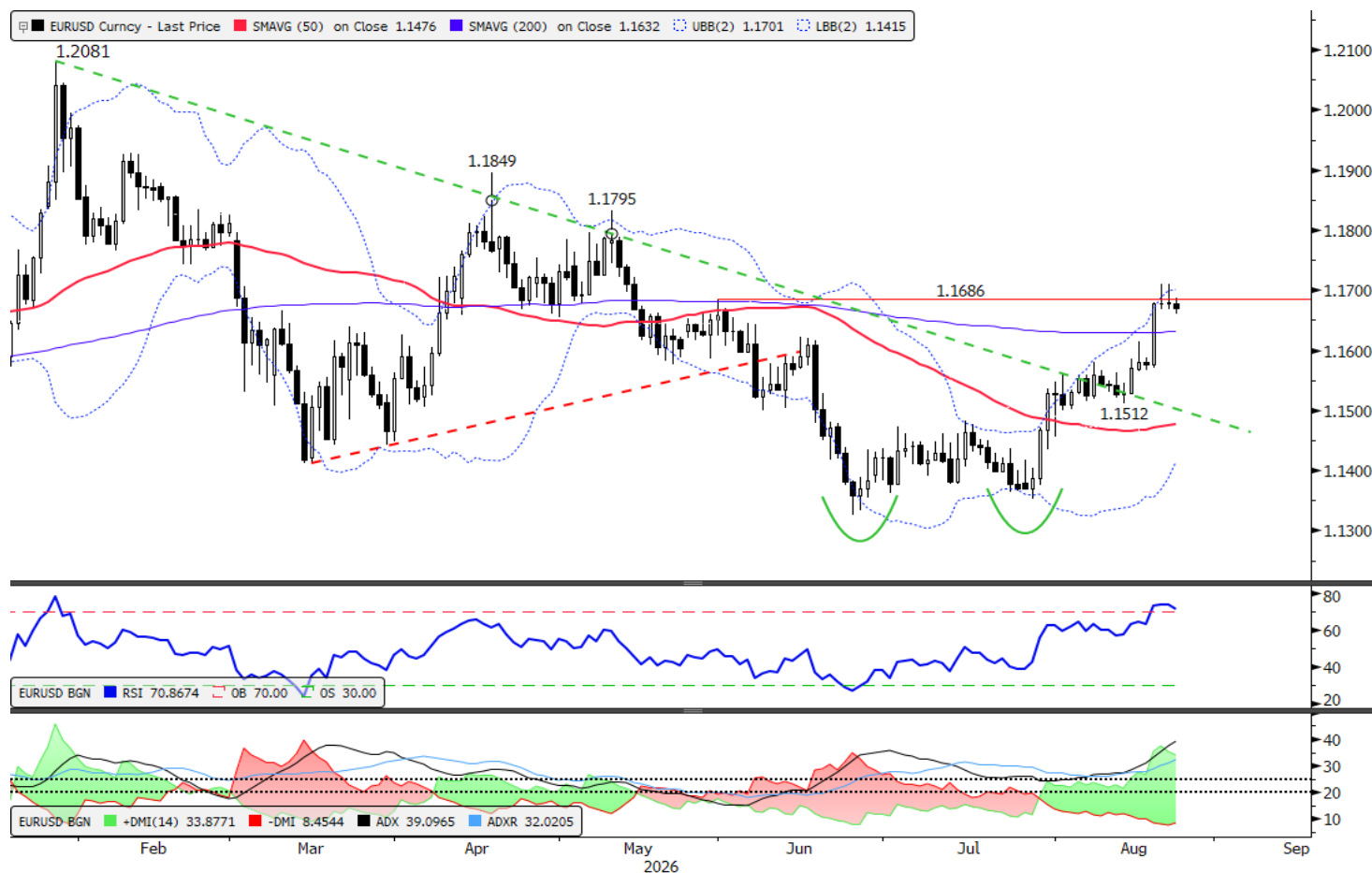
EURUSD: Upside breakout favours late-summer uptrend

Since completing a double bottom pattern in late July, EURUSD has trended higher. Spot broke above downtrend line resistance on August 17, then above the 200-day SMA on August 19. A decisive close above 1.1686 resistance, now tested, favours a continued advance toward 1.1795, then 1.1849, possibly higher.

Bullish Positioning and ADX Trend signals from the Technical Matrix favour the advance (Exhibit 9). The +DMI above the -DMI indicates bullish price action, and the ADX at ~39 affirms a strong uptrend. ADX readings near 40 and a daily RSI above 70 can coincide with near-term reversion. However, given the strength of the rise since the bottom pattern, we are inclined to view a fade back toward the broken downtrend line as buyable. Ideally a pullback sees euro hold above 1.1512-1.1500. The rising 50d SMA (1.1476) is key trend support.

Chart 1: EURUSD breakout above downtrend line, 200d SMA resistance favours late-summer uptrend toward 1.1795 / 1.1849. +DMI above -DMI and bullish ADX are supportive. Consider fading a near-term pullback while above the 50d SMA now at 1.1476.

EURUSD daily candles, 50d SMA, 200d SMA, RSI, DMI, Bollinger Bands



EURUSD Currency (EUR-USD X-RATE) FXQI Template Daily 19JAN2026-24AUG2026

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Source: BofA Global Research, Bloomberg (G FXQI 2)

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CARS Signals

CARS (“cross-asset regime-switching”) is a systematic model that makes weekly buy/sell decisions for G10 currencies based on cross-asset factors (equity, rates, and commodities). FX’s relationship with other asset classes is not constant over time, and investors could flock to own haven currencies during shock periods. The CARS model chooses the most performing factor for the appropriate macro regime of the week (see our report, CARS model: weekly FX cross-asset drivers, 22 Jun ’22).

Exhibit 10: Bullish NZD and CHF, bearish EUR and JPY on equity factor

CARS signals for a trending (non-macro shock) week

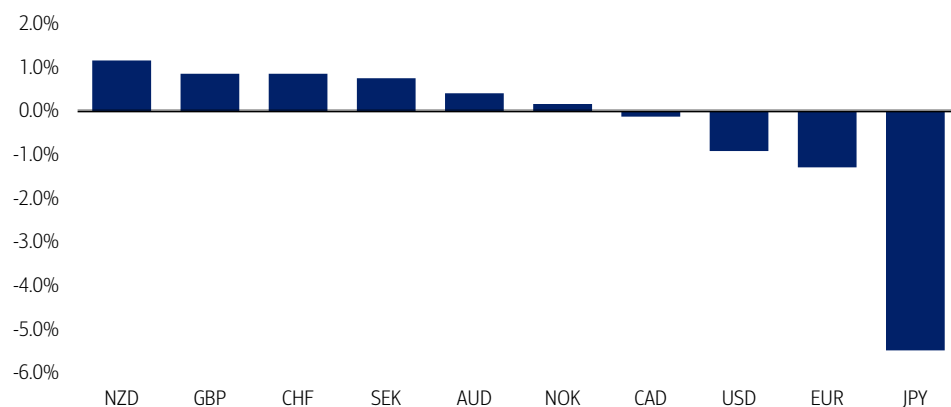
Currency	Bullish/Bearish	Equity	Rates	Commodity	Global regime	Values
EUR	Bearish	9	4	9	Commodity z-score	0.5
JPY	Bearish	10	1	6	Performing factor	Equity
GBP		3	6	8		
AUD		5	3	3		
CAD		7	7	2	USD Equity	8
CHF	Bullish	2	10	5	USD Rates	5
NZD	Bullish	1	9	4		
SEK		4	8	7		
NOK		6	2	1		

Source: Bloomberg, BofA Global Research

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Exhibit 11: Mixed returns for global equities, with Japanese equities being the main underperformer

1-week global equity returns



Source: Bloomberg, BofA Global Research

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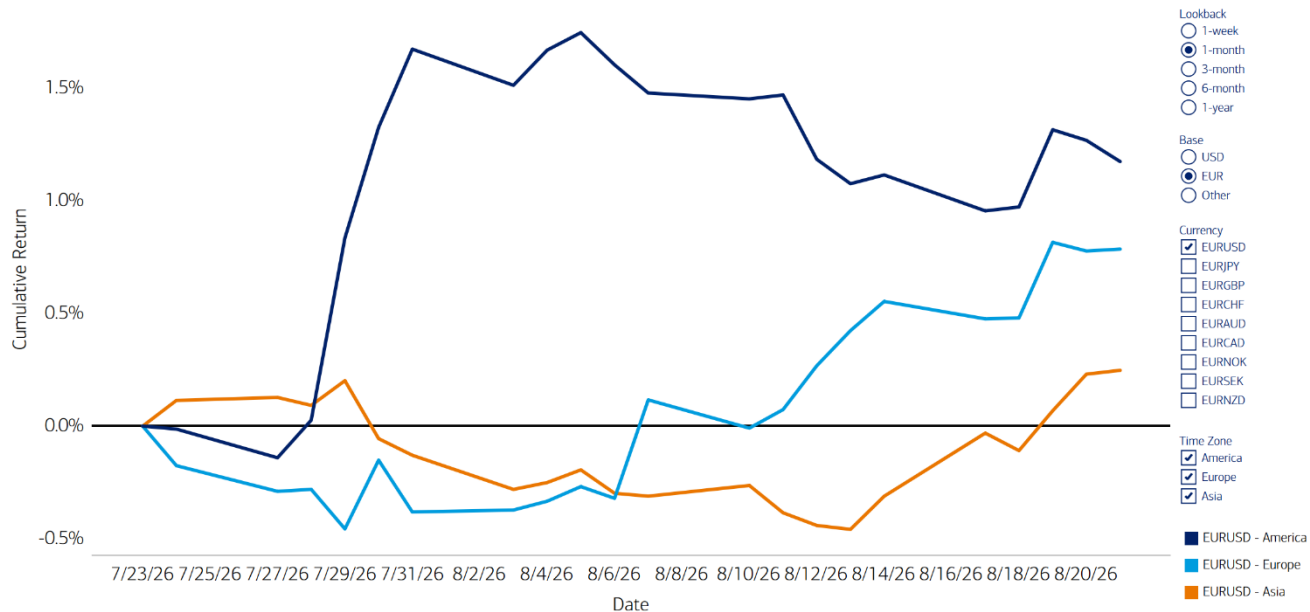


Interactive Time Zone

Expanding exhibits in the HTML view shows cumulative FX returns at different lookback periods, currency groupings, and time zones (see our report, [Interacting with time zones](#), 6 Jul '22). Hours are shown in Coordinated Universal Time (UTC). We define America time zone as 1pm-12am UTC (8am-7pm EST), Europe time zone as between 8am-1pm UTC (3am-8am EST), and Asia time zone as between 12am to 8am UTC (7pm-3am EST).

Exhibit 12: The USD has over the past month weakened across US, European, and Asian trading hours

Interactive time zone plot. For readers of the web-formatted version of this report, access interactive features of the visualization by clicking on the image. Use Google Chrome or Microsoft Edge browsers for the best experience



We denote America time zone as between 1pm to 12am UTC, Europe time zone as between 8am to 1pm UTC, and Asia time zone as between 12am to 8am UTC.

Source: BofA Global Research

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Exhibit 13: Over the past week, USD weakness has been strongest in late Asian/early European hours

Interactive time zone plot. For readers of the web-formatted version of this report, access interactive features of the visualization by clicking on the image. Use Google Chrome or Microsoft Edge browsers for the best experience

	0am-3am	3am-6am	6am-9am	9am-12pm	12pm-3pm	3pm-6pm	6pm-9pm	9pm-0am	Lookback
USDEUR	-0.2%	-0.1%	-0.5%	0.2%	-0.2%	0.2%	-0.2%	0.0%	1-week (selected)
USDJPY	0.0%	0.2%	-0.3%	0.3%	-0.3%	0.5%	-0.3%	-0.1%	1-month
USDGBP	-0.1%	0.0%	-0.4%	0.1%	-0.2%	0.1%	-0.1%	0.0%	3-month
USDAUD	-0.3%	-0.1%	-0.6%	0.0%	-0.5%	0.3%	-0.1%	0.0%	6-month
USDNZD	-0.6%	0.1%	-0.3%	0.0%	-0.6%	0.3%	-0.2%	-0.1%	1-year
USDCAD	-0.4%	-0.1%	-0.4%	0.0%	0.0%	0.2%	-0.1%	0.0%	
USDCHF	0.0%	0.0%	-0.6%	0.2%	-1.0%	0.4%	-0.4%	0.0%	
USDNOK	-0.5%	-0.1%	-0.5%	0.1%	-0.4%	0.1%	-0.1%	-0.1%	
USDSEK	-0.2%	-0.2%	0.0%	0.4%	-0.5%	0.4%	-0.2%	0.0%	

Base: USD (selected), EUR, Other

Hours are as of UTC. Currency pairs with greater loss over the lookback period are colored in darker red. Currency pairs with greater gain over the lookback period are colored in darker green. We denote America time zone as between 1pm to 12am UTC, Europe time zone as between 8am to 1pm UTC, and Asia time zone as between 12am to 8am UTC.

Source: BofA Global Research

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